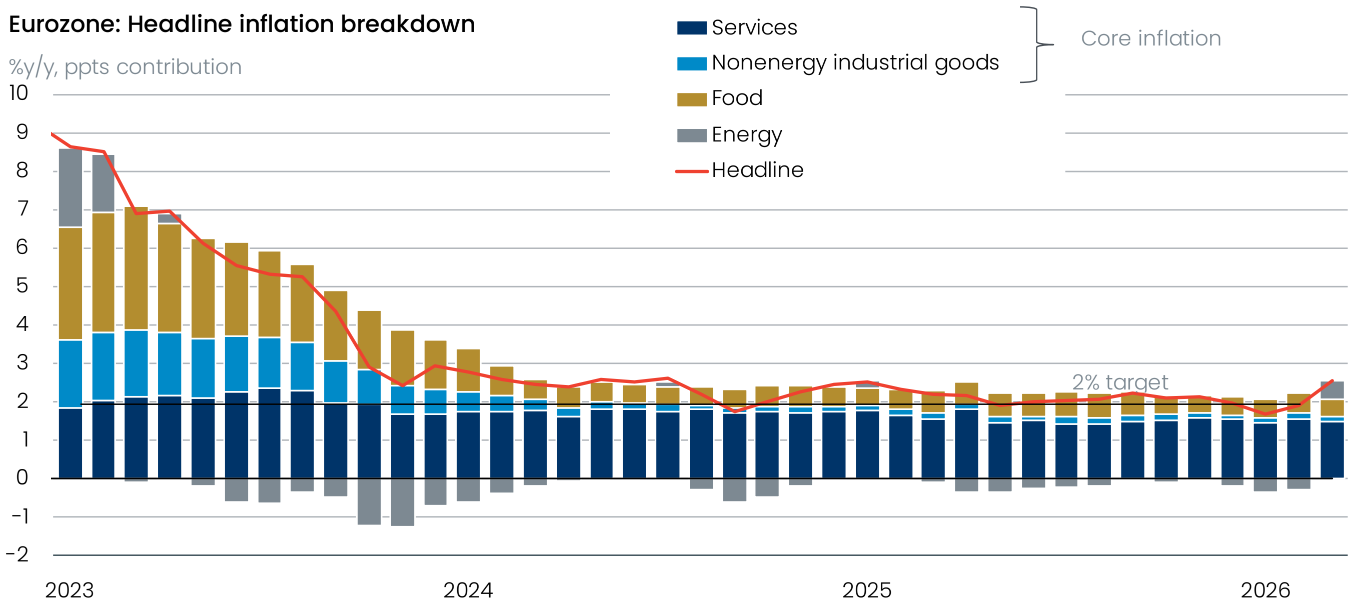
Fuel prices drove inflation above target in March

- **Eurozone headline inflation was revised slightly upwards to 2.6% y/y in March, a sharp acceleration compared to February driven almost entirely by higher fuel prices.**
- **Second-round effects are very limited at this stage, with most core components remaining on their preexisting deflationary trend. Air transport is the main exception given its exposure to higher jet fuel prices. Though this remains very early days, today's data provides cautious support for our view that the current inflation pickup should be mostly temporary and energy-driven.**
- **While the ECB is near certain to stay put in April, the transmission of the energy shock to other parts of the economy in upcoming monthly data will be key in shaping June's decision. We still expect two rate hikes in June and July, though risks have shifted slightly towards a less hawkish stance over the past week.**

March's final inflation figures for the Eurozone revised headline inflation upward by 0.1ppt to 2.6% y/y, a sharp acceleration compared to February's 1.9% and above the ECB target. The revision is driven by energy prices, which increased by more than initially estimated, while food inflation and core inflation remained broadly unchanged.

Chart 1: The increase in March's inflation was due almost entirely to higher fuel prices



Sources: Oxford Economics, Haver Analytics

The surge in inflation is extremely narrow-based at this stage. Fuel prices account for virtually all of the acceleration in the annual inflation rate compared to February, with a 13.5% m/m surge. Other components of energy inflation have risen much more modestly if at all, with gas prices up 1.9% m/m, but still in negative territory on a year-on-year basis. Electricity prices were flat, with wholesale spot prices relatively stable given the weaker transmission from higher natural gas prices compared to in 2022.

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The other major components of inflation show few signs of an impact from the Iran conflict so far, with the pace of inflation edging down slightly across food, manufactured goods, and services. Any potential impact on food prices from higher fertilizer prices due to supply disruptions will likely only show up after the next planting and harvesting cycle. Looking at core, the only price category seeing a clear impact from the crisis is air transport, with prices up 5% y/y. Higher packaging prices due to dearer oil products may also eventually contribute to pushing core inflation upwards, but no clear impact is visible in the data so far, even in the most exposed subcomponents, such as water beverages.

Although it is still too early to draw firm conclusions, today's data provides cautious support for our view that the shock may remain mostly temporary and contained to energy, with limited broader price spillovers, unlike in 2022-23. The next few months of inflation data will be key in determining whether this remains true. They will also be important in shaping the stance of the ECB. The central bank is near certain to leave rates on hold at this month's meeting, but we continue to forecast two 25bps rate hikes in June and July this year. Risks have somewhat shifted in the direction of a looser monetary policy response, with oil prices stabilizing below our baseline assumption recently and TTF gas prices also trending down.